Workbench - Coworking space in a mid-size town

Executive Summary

A 6,000 sq ft coworking space in the downtown of a town of 85,000 people, targeting remote workers and freelancers.

Problem

Remote workers in our town work from cafes or home and want a professional environment with community. There is no dedicated coworking space within 40 miles.

Market

Census data suggests 4,200 people work primarily from home in our county. A survey of 120 people (collected on local Facebook groups) found 31 percent would pay for a coworking membership.

Business Model

Hot desks at 99 USD/month, dedicated desks at 249 USD/month, private offices at 550 USD/month, meeting room rentals at 25 USD/hour. Break-even occupancy is 55 percent according to our model.

Financials & Funding Ask

Lease is 7,500 USD/month; buildout 140,000 USD financed by a 100,000 USD SBA loan plus 40,000 USD of owner capital. We project 70 percent occupancy by month 12. Comparable regional spaces report 45-60 percent occupancy at that stage. We did not model a slower ramp.

Team

Owner has 10 years in commercial real estate leasing; no coworking operating experience. Will hire a part-time community manager.

Risks

Occupancy ramp and the possibility that remote workers return to offices. Plan to add event-hosting revenue as a hedge.